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REMOVING ASYMMETRY FROM CHIP DEALS

DEAL DESK · SILICON CARBIDE

Infineon SiC price increase

Read through the substrate and equipment makers, because that is where overcapacity shows up before a device maker acknowledges it.

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SiC power devices, evidence to 24 October 2026. Every figure traces to a filed document and every quote to a named quarter. Built from public filings. First-pass analysis to support your own review — not legal, investment or professional advice.

SIC POWER DEVICES · DEAL BRIEF

Infineon SiC pricing

As of 24 Oct 2026 · increase asked: +8%

Infineon · letter | STMicroelectronics | ON Semiconductor

Increase asked 8 %

Deal brief | Meeting prep

IS AN INCREASE JUSTIFIED?

Not justified on cost. Hold price.

+8%
Infineon is asking

−1%
Net change in its input costs

+4%
Most it can argue, counting only costs that rose

Open: hold price, or ask for about −1% to share the substrate savings. **If pressed on metals and energy:** agree an index that covers every input, substrates included, so falls pass through as well as rises (about −1% today). **Walk-away:** about +4%, and only in return for 2027–28 supply security.

Confidence: medium

Directions come from company statements and market indices; some cost shares are estimates.

▼ Why

- Substrates, the largest single cost in a SiC device, are getting cheaper. Wolfspeed reports pricing pressure from Chinese supply and Aixtron says prices have dropped significantly E10 E17. Infineon buys all its substrate from six or more suppliers, so it gets the full benefit E28.
- Metals, energy and freight did rise: over the past 12 months copper averaged 36% higher, silver 101%, gold 45%, European gas 19% and air freight about 20% E38 E39 E40 E41 E42. They are a smaller part of cost than substrates, so the falls outweigh the rises.
- Infineon has spare SiC capacity and is carrying idle cost while it refocuses its high-voltage business E29 E31. That cost comes from its own loading and is not a reason to raise your price.

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▶ What would change this

YOUR LEVERAGE ON SIC

Most room with Infineon on SiC

Infineon

3.5 /5
SiC leverage

3.5 /5
Company leverage

Leaning to buyer

Spare SiC capacity and falling substrate costs. Its price increases are aimed at AI power products on allocation, not SiC demand E29 E31.

STMicroelectronics

3.1 /5
SiC leverage

4.5 /5
Company leverage

Leaning to buyer

Under pressure as a company, but its SiC lines are filling: book-to-bill above 1 during the move to 8-inch wafers E34.

ON Semiconductor

2.9 /5
SiC leverage

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Company score not yet available

Leaning to supplier

Grows most of its own substrate, so it gains least from falling prices, and its China SiC sales are guided up 60–70% E37.

ST scores higher as a company than on SiC. Its finances are under pressure, but its SiC lines are filling. Press ST on other categories; press Infineon on SiC.

Scores run 1–5; higher means a stronger buyer position. Company leverage comes from the supplier scorecard; SiC leverage adds what the SiC supply chain shows.

SUPPLY OUTLOOK

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Loose now, tightening risk from late 2027

Now · 2H 2026

Loose

SiC fabs run at about 40–70% utilization and substrate prices are falling E17 E18.

2027

Filling up

Demand is recovering while almost no new SiC capacity is being built E09 E16 E34 E37.

2H 2027 - 2028

Tightening risk

New tool orders resume near 80–85% utilization, and the tool supply chain is busy with laser equipment E18 E19.

What to lock in now: 2027–28 volume and allocation, with price indexed or reviewed rather than fixed. Infineon already offers volume-only capacity reservations on AI products; ask for the same on SiC E32.

WATCH-OUTS

AI power products are different Infineon's AI power products are on allocation and it has raised prices twice. Keep them out of the SiC discussion and negotiate them separately E30 E31.

Under-investment now, tightness later SiC capital spending is near zero and equipment makers are prioritising lasers. Today's leverage is real but has a shelf life E09 E16 E19.

Brief published 24 Oct 2026. Evidence from company documents for Jul 2025 – Jun 2026 and market indices to Oct 2026.

Semitrical analysis from company filings, earnings calls and public market indices. Not financial or legal advice.